This view changed with the Chinese threat. By mid-1959, the Eisenhower administration was referring to the Indian military establishment as “relatively modest.” The treasury secretary continued to want India and Pakistan to reduce their forces. However, while the secretary of state suggested trying to get India to redeploy forces to the China border, he did not think Delhi could or should decrease its forces. Given the increased threat, despite the consequences for the development program, overall the administration believed that a reduction in Indian defense expenditures was not feasible.[142]

As the threat increased, India, on its part, worked to strengthen its military capabilities. Indian embassy officials in Washington expected that the US would welcome an Indian request for military aid.[143] Delhi was not ready to take that step, but it considered asking for payment concessions for Indian defense purchases—this was a departure since India had previously resisted this option on the grounds that it could be interpreted as a request for military assistance. Meanwhile, officials were relieved that the Defense Department had assured them that it would expedite delivery of Indian orders of arms and ammunition.[144]

Some American officials wanted to be more proactive. Bunker recommended offering to sell India certain military equipment. If the US did not do so, India would turn to Britain for more expensive acquisitions. This would have a deleterious impact on its defense strengthening and infrastructure buildup efforts on the Chinese border and on its internal strengthening versus China. Eisenhower indicated that he had no problem with such an offer.[145] Eventually, the US agreed to sell India C-119 military transport aircraft. Due to concern about the perception that the US was treating neutral India on the same basis as ally Pakistan, however, when India informally inquired about buying short-range missiles, the State Department thought India should purchase them from Britain instead.[146]

Officials from the State Department’s Near East and South Asia bureau agreed with Bunker that the US should sell India more equipment, but preferred to do it on a case-by-case basis with a focus on equipment to meet the China threat.[147] The ambassador suggested offering to sell India helicopters, aircraft, and road-building equipment.[148] Such an offer could assist the US objective of encouraging India to continue to rely on the West for its arms acquisitions and limit purchases from the Soviet Union.[149]